STRATEGY RECOMMENDATION · STABLECOINS

Why most branded stablecoins will fade

THE QUESTION

Should a bank or fintech launch its own stablecoin before the GENIUS Act takes effect on Jan 18, 2027?

OUR ANSWER

Not on its own. USDT and USDC hold 84% of supply, and a solo coin needs ~$1.7B in circulation to break even. Distribute the leaders, join one network, and use tokenized deposits for corporates.

INSIDE

01 Why now, how big

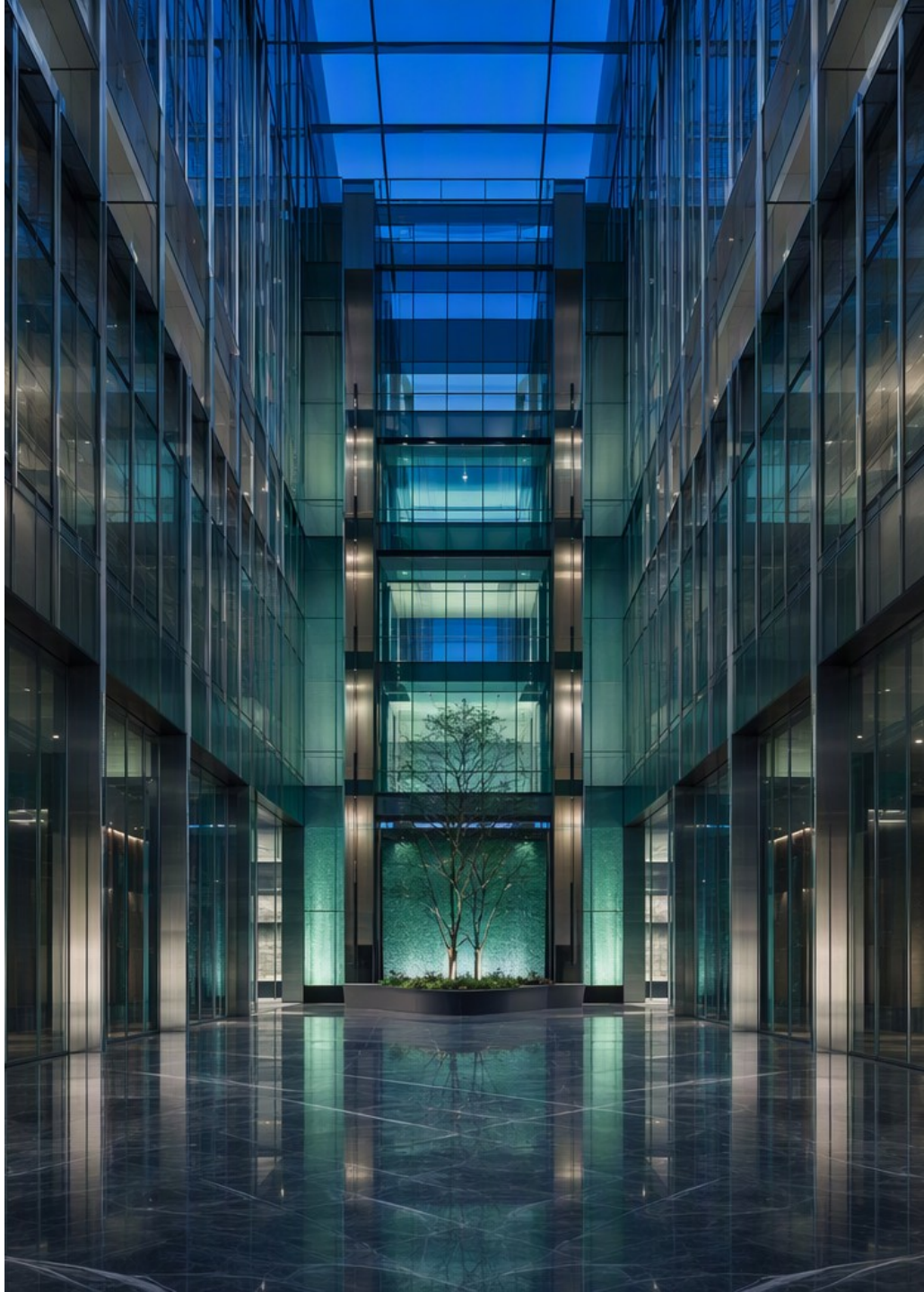
02 Why coins stall

03 Options and our pick

04 Plan, metrics, risks

Evan Chan · October 2026

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EXECUTIVE SUMMARY

Skip the solo coin: distributing the leaders brings in ~$8.8M a year (base case), while a solo coin needs ~$1.7B in circulation to break even

1 The problem

Branded coins are multiplying, but USDT and USDC hold 84% of supply and only ~1 in 12 launches stays active at scale (directional).

2 Why now

GENIUS takes effect Jan 18, 2027. Open USD went live Sep 30 with 200+ backers, and 21 institutions plan a joint coin for H1 2027.

3 What we recommend

Distribute USDC now, join one network coin with an exit clause, and keep tokenized deposits for corporate treasury clients.

4 How we'll know

A two-quarter payout pilot: ≥50% cheaper than wires, ≥40% of clients paying monthly, ≥$100M in balances, deposits steady.

BOTTOM LINE

Approve a ~$5M build and a two-quarter pilot with 25 treasury clients (H).

Expected impact: ~$8.8M a year in partner revenue in the base case, paying back in ~10 months.

Decision needed by Dec 2026: which network to join, before GENIUS takes effect.

Not recommended: a solo coin, which would lose ~$17.8M a year at $500M in circulation (H).

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THE PROBLEM · WHY NOW

The issue-or-join call lands within two quarters: GENIUS takes effect Jan 18, 2027, and three bank and payments groups have already moved

HOW WE GOT HERE

Jul 18, 2025
GENIUS Act signed
Issuers can't pay holders interest

Jun 11, 2026
Zelle's owner announces ZLUSD
Owned by 7 large US banks

Sep 1, 2026
21 institutions plan a joint coin
Launch targeted for H1 2027

Sep 30, 2026
Open USD goes live
200+ backers share reserve income

Jan 18, 2027
GENIUS takes effect
13 rules proposed, none final yet

BOTTOM LINE

Networks are signing partners now.
Waiting means joining on someone else's terms. The call spans treasury, payments, compliance and partnerships, so no single team owns it today.

THE NUMBERS THAT MATTER

84%
USDT + USDC share of ~$310B in stablecoins

DefiLlama, Jun 30, 2026

−36%
PYUSD supply vs. its March peak, as incentives tapered

DefiLlama via Stablecoin Insider

$350–550B
Real-economy stablecoin payments in 2025, up ~60%

BCG and Allium, 2026

Sources: DefiLlama; Stablecoin Insider (Jul 2026); BCG/Allium via tracee (May 2026); RegWatch (Oct 2, 2026); TechTimes (Sep–Oct 2026)

WHO ELSE IS MOVING

- Bank of America: will issue once legal; no date set (Jun 2026)
- Citi: favors tokenized deposits; 250+ banks on Citi Token Services
- Fidelity: launched its FIDD coin in Feb 2026
- PayPal: PYUSD now offered in 70 markets

THE PROBLEM · HOW BIG

A solo coin needs ~$1.7B in circulation just to break even, and only 16 of ~382 stablecoins have even $1B

BREAK-EVEN FOR A SOLO COIN · BASE CASE

$25M
run cost a year (H)

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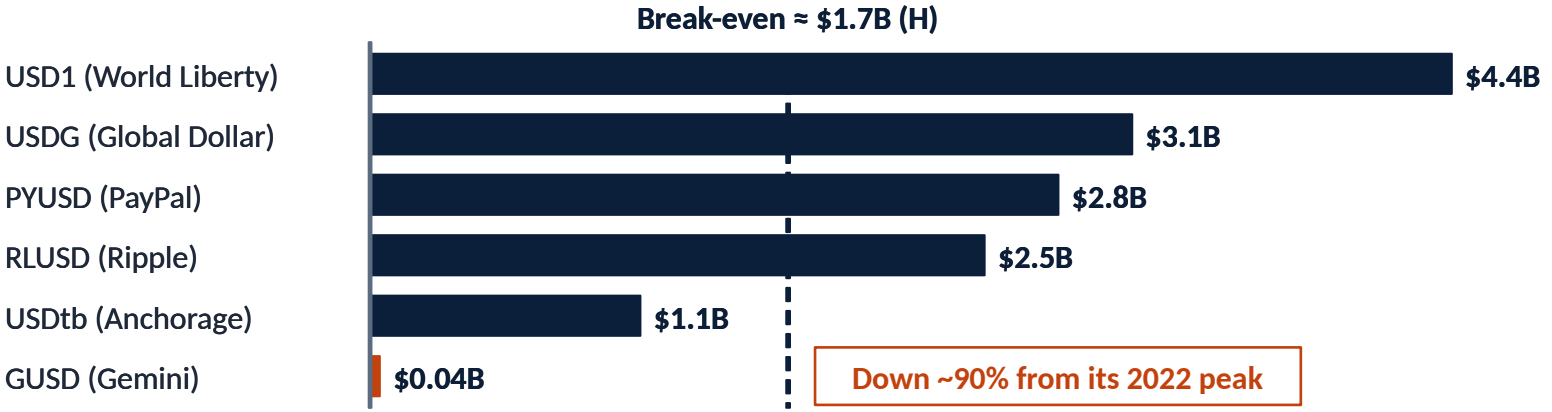
1.44%
net yield: 3.5% reserve yield × 41% kept after distributors (Circle, Q2 2026)

=

~$1.7B
in circulation to break even

WHO IT HITS
Banks and fintechs without built-in distribution. Even PayPal, with 439M accounts and ~4% rewards, saw PYUSD fall 36% from its peak.

WHERE TODAY'S BRANDED COINS SIT ($B)



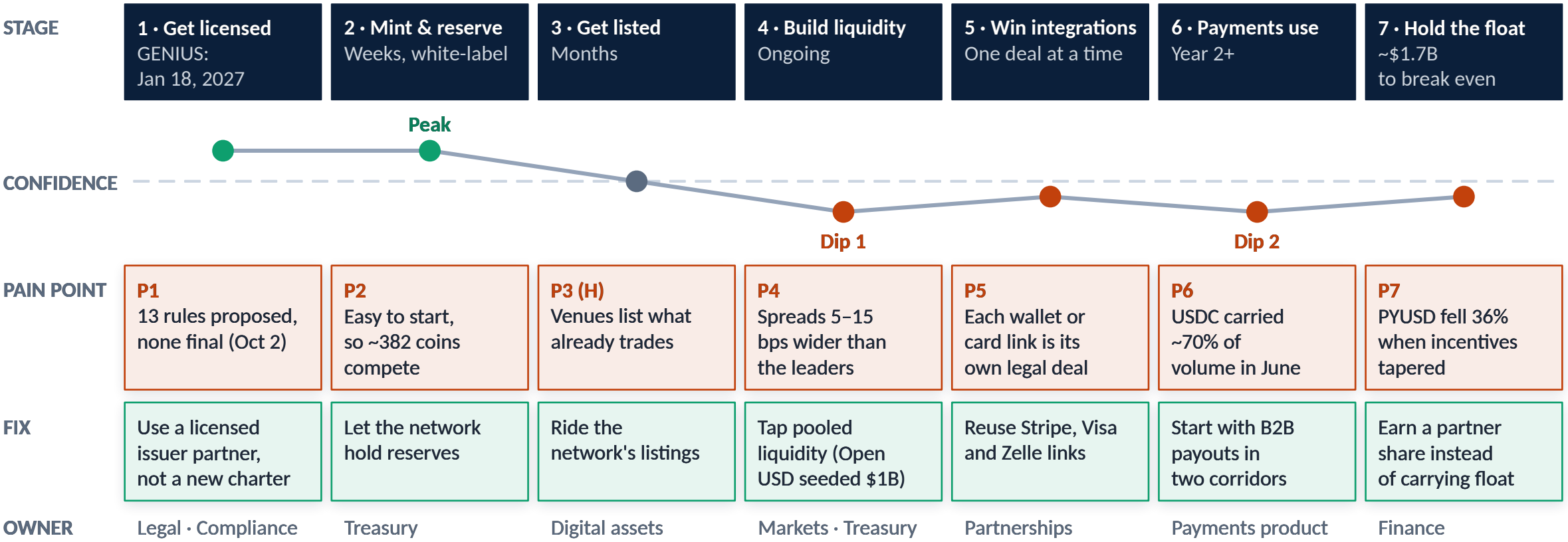
USDT ($185B) and USDC ($74B) are off this scale. Supply: DefiLlama via Stablecoin Insider (Oct 6, 2026) for USD1, USDG, RLUSD; Eco (Sep 2026) for PYUSD; tracee (May 2026) for USDtb, GUSD. Coin counts: DefiLlama via CoinLaw; tracee.

WHAT IT COSTS
~$17.8M a year in losses at $500M in circulation (H).
Each $100M earns ~$1.44M after distributors. At a $25M run cost (H) that needs ~$1.7B; even a lean $15M run (H) needs ~$1.0B.

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ISSUER JOURNEY · LAUNCH TO SCALE

Branded coins launch easily, then stall at liquidity and real payments use, where USDC already carries ~70% of volume



Confidence curve is the author's view of an issuer's odds · (H) = hypothesis to confirm with internal data · P4 is directional (tracee, May 2026)

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ROOT CAUSES

Four forces send balances to the leaders; even at Circle, distributors take ~59% of revenue

1 Liquidity compounds

USDT and USDC hold 84% of supply, and USDC carried ~70% of stablecoin volume in June. Venues quote what already trades.

Observed · DefiLlama; Circle Q2 2026 call

2 Distribution takes most of the yield

Circle kept 41% of revenue after paying distributors in Q2 2026. Open USD hands most reserve income to its partners.

Observed · Circle; Open Standard

3 Issuers can't pay holders; platforms can

GENIUS bans issuer interest. CLARITY failed 49–50 on Sep 15, so platform rewards like PayPal's ~4% carry on.

Observed · GENIUS Act; Senate vote

4 A third dollar adds little (H)

Distribution starvation is behind ~60% of failed launches (directional). Gemini's GUSD is down ~90% from its 2022 peak.

(H) · need client demand data

WHAT WE'D NEED TO CONFIRM

Run cost of a solo coin (H): quotes from two white-label issuers and a market maker.
Client demand for a bank-branded dollar vs. USDC (H): a survey of 50 treasury clients.
Deposit cannibalization (H): how balances move between deposits and stablecoins in the pilot.

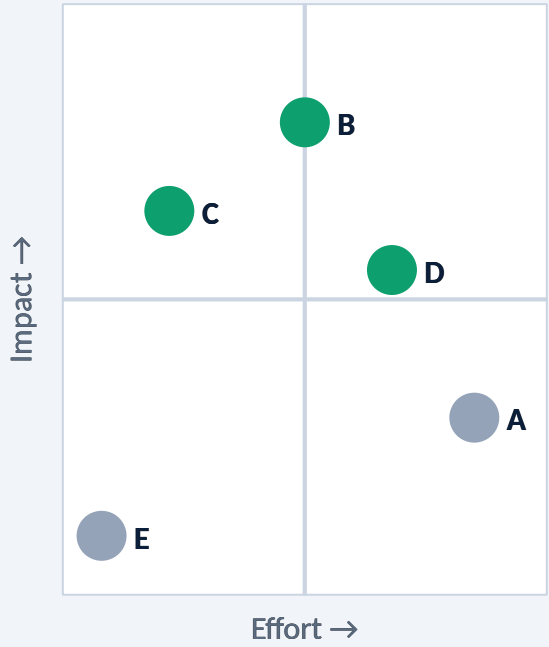
OPTIONS · TRADE-OFFS

Distributing the leaders and joining one network beat a solo launch: ~$5M to build vs. ~$25M a year to run a solo coin (H)

Lever	What changes for the client	Fixes	Cost · speed	Main risk
A · Launch a solo coin Our own branded dollar	Clients hold our coin; it works only where we're accepted	None	~$25M/yr (H) · 12+ mo	Float stalls below break-even
B · Join one network coin Open USD, ZLUSD or the 21-bank coin **RECOMMENDED**	Clients hold a coin many partners accept; we earn a reserve share	1, 2, 4	Low–med · 6–9 mo	The network itself fails to scale
C · Distribute the leaders USDC custody, ramps, payouts **RECOMMENDED**	Clients send, receive and hold USDC in our apps and treasury tools	1, 2, 4	Low · 3–6 mo	Issuer can reprice our share
D · Tokenized deposits For corporate treasury **RECOMMENDED**	Corporates move deposits on-chain 24/7; can earn interest (H)	3	Medium · 9–12 mo	Works only among banks that join
E · Wait and see Revisit after GENIUS	Nothing changes; stablecoin flows move to crypto platforms	None	None	Join later on others' terms

Fixes = root causes 1–4 on the previous slide · B + C ≈ $5M to build and $2.5M a year to run · All costs and timelines are the author's estimates (H)

IMPACT VS. EFFORT



Teal = recommended · Positions are the author's estimates

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RECOMMENDATION · BUSINESS CASE

Base case: ~$8.8M a year in partner revenue on $500M of client balances, paying back a ~$5M build in ~10 months (H)

WHAT WE'D DO

1. **Distribute the leaders now**
   Add USDC custody, on- and off-ramps and payouts to treasury and app channels. Negotiate a share of reserve income on balances we hold.

2. **Join one network, not a solo launch**
   Pick Open USD, ZLUSD or the 21-bank coin, with an exit clause. Keep every integration coin-agnostic.

3. **Keep tokenized deposits for corporates**
   Scope a deposit token with three treasury clients for 24/7 moves between accounts and partner banks.

BUILDS ON WHAT EXISTS

Banks already run KYC/AML, custody and treasury relationships. Zelle already links ~2,200 institutions, and its seven bank owners announced ZLUSD in June.

HOW I'D SIZE IT

$500M client balances (H) × **3.5%** reserve yield × **50%** partner share (H) = **$8.8M** a year

Inputs I'd ask for: client cross-border volume, treasury balances and partner terms.

SCENARIOS · AUTHOR'S ESTIMATES

Scenario	Key assumptions	Net a year	Payback
Low	$200M balances · 3.0% yield · 40% share	−$0.1M	None
Base	$500M balances · 3.5% yield · 50% share	+$6.3M	~10 months
High	$1B balances · 3.75% yield · 70% share	+$23.8M	~2.5 months

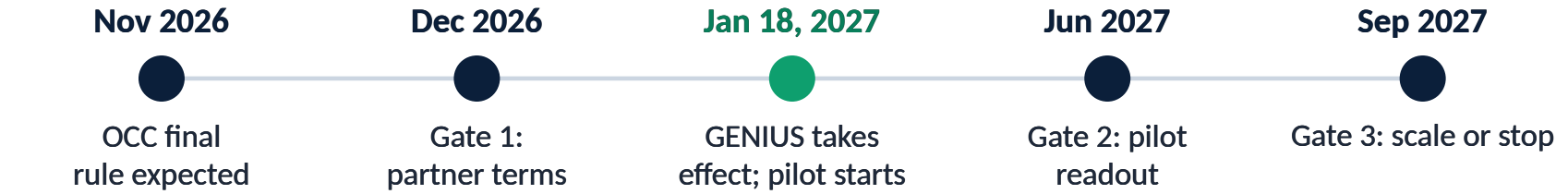
Net of a $2.5M yearly run cost (H); payback on a ~$5M build (H).

$8.8M a year
Base-case partner revenue (H)
vs. ~$1.7B a solo coin needs to break even

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ROADMAP

Sign partners by December, pilot from GENIUS day (Jan 18, 2027), and decide on scale by September 2027



Workstream	Owner	Now · Q4 2026	Next · H1 2027	Later · H2 2027
Partner and network terms	Strategy · Partnerships	Shortlist a USDC partner and one network	Sign, with exit clause	Review share vs. float
Custody and on/off-ramps	Digital assets ops	Build custody and chain allowlist	Live for pilot clients	All treasury clients
Compliance (GENIUS, AML)	Compliance · Legal	Map to OCC final rule	Screening live; exam-ready	Annual review
Payout product	Payments product	Design two-corridor payouts	Pilot with 25 clients	Add corridors
Tokenized deposits	Treasury services · Tech	Scope with three corporates	Proof of concept	Go / no-go

DECISION GATES

Gate 1 · Dec 2026
Partner terms give us ≥50% of reserve income on balances we hold (H), or we don't sign.

Gate 2 · Jun 2027
The pilot hits 2 of 3 success bars with the deposit guardrail intact.

Gate 3 · Sep 2027
Scale to all treasury clients, or stop and keep only USDC custody.

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PILOT · HOW WE'D KNOW IT WORKED

A two-quarter pilot proves it if payouts cost ≥50% less than wires and ≥40% of pilot clients pay monthly

PILOT SET-UP

Where: 25 treasury clients paying suppliers in two corridors, US→Mexico and US→Philippines (assumption). When: Jan–Jun 2027. Control: a matched group paying by wire.

Metric	Good	Bad	Why this bar
All-in cost per payout vs. wire	**≥50% lower**	**<20% lower**	Clients change habits only for a clear saving; calibrate to our wire pricing
Pilot clients paying monthly by month 6	**≥40%**	**<15%**	Repeat use is the real signal: PYUSD fell 36% once incentives tapered
Client balances held through us	**≥$100M**	**<$25M**	$100M earns ~$1.75M a year at 3.5% × 50%, most of the $2.5M run cost (H)

Guardrail: pilot clients' operating deposits fall no more than 5% vs. control, and zero sanctions or AML breaches. Bars are proposals to calibrate against the internal baseline.

HAND-OFF CRITERIA

Hand to Treasury Services and Payments when all four hold:

1. SOP and a named owner
2. KPIs live on the dashboard
3. 8 weeks at target
4. Run cost within $2.5M a year

WHERE AI HELPS

Wallet-risk scoring flags sanctioned or high-risk counterparties before a payout settles, and AI matching reconciles on-chain payouts to invoices.

RISKS

Six risks to watch; the biggest is a network coin winning without us

Risk	Why it matters	Mitigation / what we watch
A network coin wins without us	Open USD (live), ZLUSD and the 21-bank coin court the same clients	Join one early with an exit clause; keep integrations coin-agnostic
Reward rules change	CLARITY failed 49–50 on Sep 15, so platform rewards continue for now	Watch the lame-duck session and 2027 bills; model both cases
Deposits leak into stablecoins	Industry estimates of deposit outflow run from $270B to $4T	Pilot guardrail; offer tokenized deposits to corporates
Lower rates shrink reserve income	Circle's reserve return fell 66 bps in a year, to 3.48%	Build payout fee revenue, not just a float share
One partner reprices	Coinbase's USDC deal came up for renewal in Aug 2026	Use two issuers; no exclusivity
Compliance on public chains	Tron carried ~60% of real-economy stablecoin payments by end-2025	Chain allowlist and wallet-risk screening from day one

WHAT WOULD CHANGE OUR MIND

We'd change course if:

1. **A solo coin breaks out**
   A bank or fintech coin passes ~$1.7B within 12 months without paying rewards.

2. **The duopoly cracks**
   USDT + USDC fall below 75% of supply for two quarters (84% in June).

3. **Issuers can pay holders**
   A law change lets issuers pay interest directly.

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SOURCES

Sources

- DefiLlama via CoinLaw: issuer shares (Jul 1, 2026)
- Stablecoin Insider: PYUSD Q2 report (Jul 9, 2026)
- tracee: Stablecoin Market 2026 report (May 2026)
- Circle: Q2 2026 results and call (Aug 5, 2026)
- RegWatch: GENIUS Act tracker (Oct 2, 2026)
- Galaxy Research: CLARITY Act vote (Sep 18, 2026)
- The Block; TechTimes: Open USD (Jun 30; Oct 2, 2026)
- TechTimes; Stablecoin Insider: bank coins (Aug–Sep 2026)
- Transak: banks using stablecoins (Jun 22, 2026)
- Spark; Eco: PYUSD reach and rewards (Jul–Sep 2026)
- S&P Global: deposit-flight estimates (May 14, 2026)

NOTE
Analysis and estimates are the author's own; (H) marks hypotheses to test with internal data. Independent analysis; not affiliated with any company named.

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